

□ It would be desirable to extend to agro-forestry all the benefits applicable to agriculture, so that farmers can be encouraged to cultivate their private wastelands with equivalent benefits like concessional power, unrestricted movement of such produce, and so on. In order to support farmer investment, institutional credit needs to be provided in the form of long term loans, depending on the species being planted. Such loans should qualify as priority sector lending by banks and financial institutions.



□ Research & Development for the evolution of improved wood species need to be promoted through a weighted deduction of expenses for income tax purposes, at par with the infrastructure sector, given the wider ramifications of this sector on sustainable growth. Tax and other fiscal incentives would also need to be extended to promote wood-based products as also to locate industry near plantations in rural India.

□ The National Action Plan on Climate Change has suggested, in its Mission for Enhanced Energy Efficiency, a market based mechanism that would certify energy savings that could be eventually traded. In a similar fashion, to promote the use of biomass energy from agro-forestry, the differential in cost of generation between biomass energy and the least cost generation from fossil-fuel based energy sources could also be reimbursed in the form of "energy credits", which can then be traded. Needless to state that an appropriate regulatory framework would be required to mandate purchase of energy credits by polluting industries.

I would like to emphasise here once again that it is not only important to create the right policy environment, but also to ensure its longer term orientation, given the nature of investment and the long gestation in the agro-forestry sector. It is on this crucial policy foundation that the entire wood-based value chain can be built to support the nation's quest for sustainable means of growth.

It is critical that we engage in finding new means and policy initiatives to support greater corporate participation in agro-forestry. Corporations must be enabled to build capacity, bring innovation and provide quality services to rural areas. It is only then that the goal of accelerating growth in the relatively marginalised rural sector can be realised in a manner that is equitable and sustainable.

Your Company's own experience clearly bears this out. Substantial investments in R&D have been made over the years by your Company to remarkably improve quality and productivity in its agro-forestry operations, directly creating considerable benefits for the marginalised farmers. Such investments would need to be made on an even larger scale to tap the full potential of the agro-forestry strategy that I have outlined in this communication. Committed corporates like ITC would be willing to go the extra mile with the required investments in R&D, people and processes given a supportive climate with appropriate policies and incentives to nurture public-private partnership models.

ENSURING A LIFE OF DIGNITY

Transformational change for any country is primarily about improving the quality of life of its people and providing them a secure future. Sustainable development and inclusive growth are approaches to achieving that superordinate goal. I have today attempted to show through one example that it is possible to fashion innovative growth models that leverage inherent strengths to unleash economic multipliers which in turn can impart disproportionate benefits to large populations. With policy support and corporate involvement, these benefits can be scaled up enormously with attendant impact on poverty alleviation. Such models have the potential to drive a process of fundamental transformation in India.



Your Company indeed takes pride in being able to shape an opportunity to lead by example in achieving exemplary standards in corporate citizenship. It is this pride and sense of fulfilment that encourage our outstanding human capital to strive harder, in the face of all adversity, to bring more glory to this organisation. On their behalf, I look forward to your continued support and encouragement, as always.



This is the complete text of Chairman Y. C. Deveshwar's speech. The 'video on demand' of the speech can be viewed at www.itcportal.com For a booklet of the speech, please write to the Corporate Communications Department, ITC Limited, Virginia House, 37 J. L. Nehru Road, Kolkata 700 071 or e-mail to ccd@itc.in